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2008–2024: Opportunities and China's Rise

Pauses and Drifts, 2008–2014

As in 1991, the year 2008 marked a set of major developments that altered India's strategic environment in some significant ways. But rather than serve as a catalyst for major geopolitical, economic and security developments, it initally led to a period of some stasis. In September 2008, India received a unanimous waiver from the Nuclear Suppliers Group, enabling civilian nuclear and dual use commerce with India. The meeting in Vienna was dramatic, with China proving the major hold-out, and significant Indian and American lobbying required to ensure consensus. [1]

But just two months later, a group of terrorists carried out a major attack in Mumbai, killing numerous civilians at luxury hotels, public places, and a Jewish centre. The perpetrators were Pakistanis who had arrived by boat across the Arabian Sea. Although the United States immediately attempted to mediate and prevent an escalation of tensions, the nature of the attacks and clear Pakistani complicity had a number of effects, improving law enforcement and counter-terrorism cooperation with the United States and Israel, driving changes to India's intelligence and coastal security institutions, and adversely affecting Pakistan's international image. [2]

These events were, in time, overshadowed by another major development. In August and September of 2008, a bubbling mortgage debt crisis in the United States resulted in the failure of major financial institutions, including Bear Stearns and Lehman Brothers. The financial contagion spread to Europe, where many vulnerable economies in the